Aether Precision Systems

# H1 2025 Revenue Growth vs. Profitability Gap

## Executive Summary

Reporting period: 1 January 2025 - 30 June 2025 | Prepared by: Zakariae ELMAHFOUDI

| $4.60M | $3.93M | 14.66% | $49.5K |
|---|---|---|---|
| **Gross Revenue** | **Net Revenue** | **Discount Rate** | **Cost Pressure** |
| H1 2025 | after $674.6K discounts | of Gross Revenue | P-SI-004 + P-SI-007 |

**Executive takeaway:** Revenue growth did not translate into proportional profitability improvement. The evidence points to a combination of discounting, product-level cost pressure, business-unit economics, and mix effects rather than a single root cause.

## Workstream Conclusions

The executive summary below captures the conclusion reached for each of the nine analytical workstreams used in the investigation.

### 1. Data Quality & Reporting Readiness

The source data contained material formatting, identifier, date, duplicate, financial-field, and cost-data issues. Confirmed issues were corrected where evidence supported a reliable correction; unresolved or ambiguous cases were explicitly flagged. Data quality is a material enabler and risk for dimension-level reporting.

### 2. Revenue Performance

H1 2025 generated $4.60M of Gross Revenue and $3.93M of Net Revenue. Sensors & Instruments accounted for approximately 57.59% of H1 Net Revenue. Revenue concentration was strong, but revenue scale alone did not explain the profitability gap.

### 3. Discount & Pricing Realization

Total discounts were approximately $674.6K, equal to a 14.66% overall discount rate. Distributor and Strategic discounts represented approximately $510.8K of revenue surrendered. This is revenue exposure, not confirmed profit loss, because no approved target-discount benchmark was available.

### 4. Cost Structure & Cost Pressure

P-SI-004 and P-SI-007 showed a combined actual-vs-standard cost overrun of approximately $49.5K. This is the strongest directly benchmarked cost-improvement opportunity identified.

### 5. Profitability & Margin Analysis

Software & Analytics delivered the strongest contribution economics at approximately 95.08% contribution margin, while Field Services was materially lower at approximately 37.97%. Mix and business-unit economics therefore matter materially to the quality of growth.

### 6. Budget Variance Analysis

Actual-versus-budget analysis was performed at the Business Unit x Region x Month level. However, comparability and data-quality limitations reduced the reliability of certain variance conclusions, so budget findings were not used as primary proof of the profitability gap.

### 7. Driver Investigation & Anomaly Review

The investigation did not identify one dominant root cause. The evidence points to a combination of discounting, product cost pressure, business-unit economics, and mix effects, with data-quality limitations affecting some dimension-level conclusions.

### 8. Financial Impact & Prioritization

The largest quantified amount was approximately $510.8K of discount exposure, followed by approximately $49.5K of directly benchmarked product cost overrun and an illustrative approximately $44K Field Services improvement opportunity. These amounts represent different impact types and should not be summed.

### 9. Management Recommendations

Priority actions are to strengthen discount governance, investigate P-SI-004/P-SI-007 cost overruns, protect high-margin Software & Analytics revenue, improve Field Services economics, and strengthen data and reporting controls.

## Financial Impact & Prioritization

The financial impacts below are deliberately separated by evidence type: revenue exposure, directly benchmarked cost impact, and illustrative improvement opportunity.

| Priority | Financial Issue | Estimated Impact | Interpretation |
| --- | --- | --- | --- |
| **1** | Distributor & Strategic discount exposure | ~$510.8K | Largest quantified amount; revenue exposure, not confirmed profit loss |
| **2** | P-SI-004 & P-SI-007 cost overruns | ~$49.5K | Direct actual-vs-standard cost overrun |
| **3** | Field Services margin improvement opportunity | ~$44K | Illustrative, directional opportunity |

## Management Priorities

### 1. Strengthen discount governance

Review discounting by channel, customer type, region, and product. Use approval thresholds and profitability logic rather than a blanket discount reduction.

### 2. Investigate product cost overruns

Review the drivers behind the ~$49.5K P-SI-004/P-SI-007 overrun, including component costs, labor, sourcing, production efficiency, and standard-cost assumptions.

### 3. Protect high-margin Software & Analytics

Preserve strong software economics and selectively expand software adoption or attachment where commercially and operationally appropriate.

### 4. Review Field Services economics

Assess service pricing, labor utilization, contract economics, and cost structure to improve contribution without compromising service quality.

### 5. Strengthen data & reporting controls

Improve validation of dates, identifiers, classifications, financial fields, and budget mappings to support reliable management reporting.

## Key Caveats

- Transactions with missing or unusable dates were excluded from the H1 analytical population.
- Unmatched CustomerID/ProductID records were excluded from reliable dimension-level attribution where the relationship could not be established.
- Negative quantities were preserved unless their business meaning could be reliably determined.
- A limited number of missing product-month cost observations were imputed and flagged.
- The ~$44K Field Services figure is an illustrative improvement opportunity, not a confirmed realized loss.
- Budget variance findings are subject to comparability and data-quality limitations.
- Discount exposure, measured cost overruns, and illustrative opportunities should not be added into a single loss estimate.

## Conclusion

The H1 2025 analysis shows that strong revenue performance alone was not sufficient to deliver proportional profitability improvement at Aether Precision Systems. The most actionable evidence is concentrated in discount governance and measurable product-level cost pressure, while high-margin Software & Analytics and Field Services economics provide additional strategic opportunities.

The analysis also demonstrates that finance decision support depends on disciplined data-quality assessment. The final interpretation therefore combines quantified findings with explicit caveats where the available evidence is insufficient for a stronger claim.

Full supporting analysis, data lineage, assumptions, and workbook evidence are provided in the detailed analysis report and project documentation.